

COAL INDIA LIMITED

EMPOWERING INDIA. ENABLING LIFE.

INDIA'S ENERGY SCENARIO & COAL

India is currently among the top three fastest growing economies of the world. As a natural corollary India's energy needs too are fast expanding with its increased industrialization and capacity addition in Power generation. This is where 'Coal' steps in.

- Coal is the most dominant energy source in India's energy scenario.
- Coal meets around 55% of primary commercial energy needs in India against 29% the world over.
- India is the 3rd largest coal producing country in the world after China and USA.

AT A GLANCE

Coal India Limited (CIL) is a 'Navratna' Public Sector Undertaking under Ministry of Coal, Government of India with Headquarters in Kolkata, West Bengal. CIL is the single largest coal producing company in the world and the largest corporate employer with manpower of 397,138 (as on 1 April 2010). Operating through 81 mining areas CIL, is an apex company with 7 wholly owned coal producing subsidiaries and 1 mine planning and consultancy company. CIL's mining activities are spread over 8 provincial states of India. Coal India has 476 mines of which 277 are underground, 165 opencast and 34 mixed mines (as of 1st October 2009). CIL further operates 18 coal washeries, (12 coking coal and 6 non-coking coal) and also manages 200 other establishments like workshops, hospitals etc. CIL has 26 training Institutes in its eight companies. Indian Institute of Coal Management (IICM) as a 'Centre of Excellence' operates under CIL and imparts multi disciplinary management development programs for executives. Coal India's major consumers are Power and Steel sectors. Others include Cement, Fertiliser, Brick Kilns, and a host of other industries.

UNMATCHED STRATEGIC RELEVANCE

- CIL single handedly produces 82% of the overall national coal output
- Meets 42% of the country's primary commercial energy requirements
- Commands 74% of the Indian coal market share

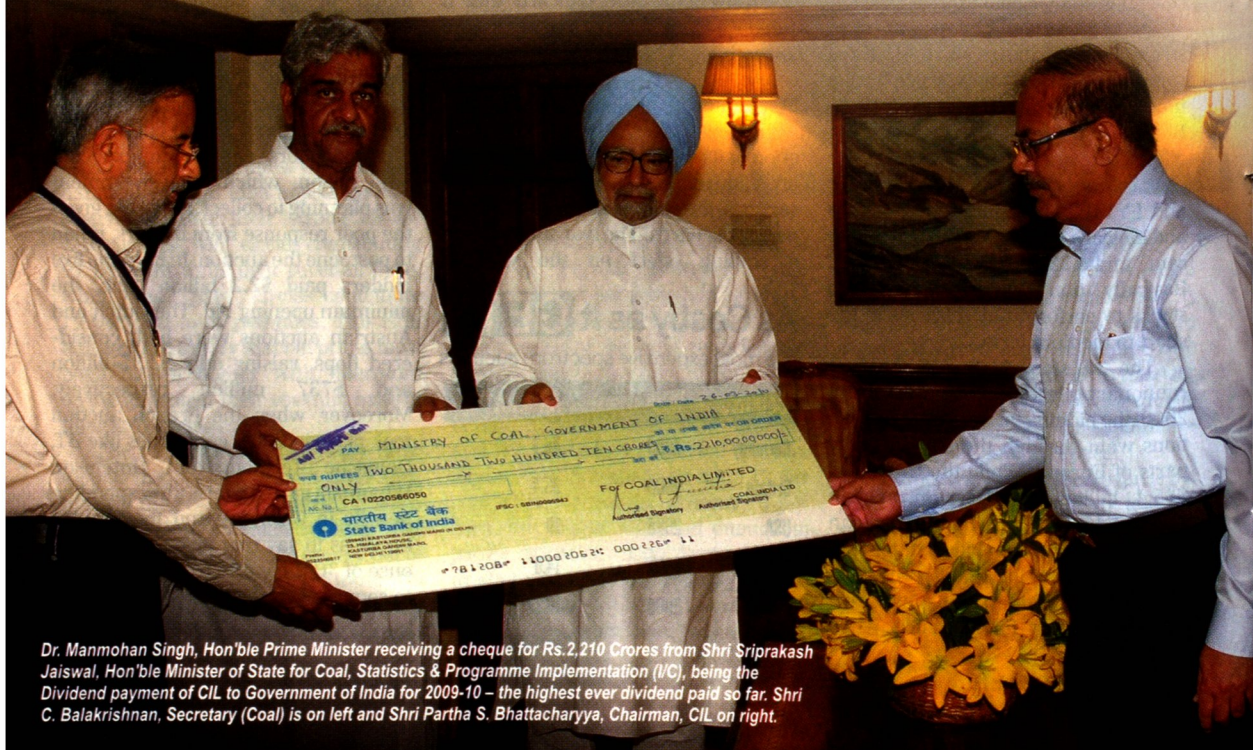
- Supplies coal at prices deeply discounted (up to 50%) to international prices enabling the end user industry enhance their global competitiveness
- Insulates Indian coal consumers against price volatility
- Yet maintains operating margin of nearly 30% through strategic cost control, enhanced productivity and efficiency in asset management
- Has proved reserves of 68 Billion Tonnes which is seven times more than the second largest coal company in the world
- Thus, plays a key role in "India Growth Story" and makes Indian businesses globally competitive

CONSOLIDATING THE PRODUCTION

- With a modest coal production of 79 Million Tonnes (MTs) at its nationalization in 1975-76, CIL ended 2009-10 with an impressive coal production of 431.27 Million Tonnes (MTs)
- Reflecting its dynamic production momentum in recent years, CIL leaped from 300 MTs mark achieved in 2003-04 to 400 MTs (2008-09) in a span of 5 years, whereas it took CIL 12 years to cross the 300 MTs production mark from that of 200 MTs achieved in 1991-92
- Achieved a growth of 6.4% in 2008-09 and 5.3% per annum during the period 2003-04 to 2007-08.
- Clearly, CIL had stepped into a higher growth orbit in 2008-09, which was further reinforced in 2009-10 with a growth of 6.8%, the highest achieved in a year so far.
- Two of CIL's subsidiaries have exceeded 100 MT mark in coal production, joining the exclusive club of few companies that produce over 100 MTs of coal annually.

STRONG FINANCIAL PERFORMANCE

- One of the largest profit making, tax and dividend paying State Owned Enterprises of India
- Turn Over of Rs. 51,909.40 Crores as of fiscal 2009-10
- Pre-tax profit during 2009-10 was Rs. 13,964.93 Crores.



Dr. Manmohan Singh, Hon'ble Prime Minister receiving a cheque for Rs. 2,210 Crores from Shri Sripakash Jaiswal, Hon'ble Minister of State for Coal, Statistics & Programme Implementation (I/C), being the Dividend payment of CIL to Government of India for 2009-10 – the highest ever dividend paid so far. Shri C. Balakrishnan, Secretary (Coal) is on left and Shri Partha S. Bhattacharyya, Chairman, CIL on right.